

Electronic Components: Earnings Outlook (Apr-Jun)

Estimate solid earnings overall; difficult to tell how share prices will react

We estimate solid earnings momentum in the April-June 2026 quarter especially for AI server, industrial machinery, and automotive applications, and also expect yen depreciation versus the dollar to boost earnings. However, passive component makers and other AI server-related stocks' share prices rose sharply from April, so we think weak short-term earnings could lead to prices falling for stocks with share prices far too high relative to earnings.

- **Sector outlook:** Most of the companies in our electronic component coverage assumed USD/JPY of 150-155 for FY2026, but the actual level in April-June was 159-160, which should boost earnings. In addition to this weak yen tailwind, we also estimate strong recovery momentum particularly in AI server, industrial machinery, and automotive applications, and in overall terms, we think April-June quarter operating profit is likely to be in line with or beat guidance. However, the share prices of passive component makers and other AI server-related stocks may have appreciated too rapidly relative to short-term earnings, so if earnings fall slightly short of guidance or merely disappoint the market, we think share prices could fall sharply, and we believe short-term share price volatility could increase for names with low profitability levels.
- **Passive component stocks:** Some overseas investors still have high expectations for short-term MLCC price hikes due to tight supply/demand conditions, but we see few prospects for price hikes in July-September and recommend buying on weakness if share prices fall. We forecast an MLCC shortage from FY2027, and we think prices will start to rise when customers become aware of the shortage with negotiations over 2027 supplies in October-December. Regarding 1Q (April-June) FY2026 operating profit, we currently cautiously forecast ¥86.5 billion at Murata Manufacturing, but we think ¥90 billion or higher could be possible given the effects of yen depreciation and strong market conditions so we are waiting for the actual result. Meanwhile, we forecast 1Q operating profit at Taiyo Yuden of ¥5.0 billion, but are concerned profit could undershoot depending on when the strikes at MLCC production facilities in South Korea end. The stock market's short-term stance toward Taiyo Yuden is one of severe caution due to the 4Q FY2025 earnings undershoot and overall execution risk, but we expect its share price to react strongly depending on 1Q FY2026 results. Further, we forecast 1Q operating profit at TDK of ¥67.4 billion. We think it will be a positive surprise if operating profit is much higher than ¥70 billion.
- **Guidance overshoots and undershoots:** Looking at other stocks, we expect 1Q progress toward guidance overshoots at sector companies including Hirose Electric, MinebeaMitsumi, and Rohm. We do not currently expect any sector stocks to greatly undershoot guidance. We expect 1Q results to beat guidance due to strong demand for industrial machinery applications at Hirose Electric, precision technologies segment buoyancy at MinebeaMitsumi, and a general recovery in market conditions plus tight supply/demand for discrete semiconductors at Rohm.

Japan Equity Research

Technology - Electronic Components

Akinori Kanemoto ^{AC}

(81-3) 6736 8628

akinori.kanemoto@jpmorgan.com

Ikki Shibata

(81-3) 6736 8641

ikki.shibata@jpmorgan.com

JPMorgan Securities Japan Co., Ltd.

Figure 1: Share price performance of major electronic components companies

Ticker	Company	Price (JPY)	Performance						Performance Ranking					
			-1W	-1M	-3M	-6M	-9M	-12M	-1W	-1M	-3M	-6M	-9M	-12M
6981	Murata Mfg.	11,080	3.2%	14.3%	191.0%	232.5%	280.5%	420.1%	7	3	3	4	3	3
6976	Taiyo Yuden	20,560	10.5%	29.7%	352.0%	468.7%	480.5%	699.1%	3	1	1	1	1	1
6762	TDK	3,699	3.0%	-10.0%	83.1%	64.8%	61.2%	128.5%	9	14	7	9	10	9
6971	Kyocera	3,916	11.6%	5.3%	56.8%	73.5%	93.9%	133.9%	1	7	9	7	7	7
6963	Rohm	5,950	11.5%	12.9%	64.8%	157.0%	151.3%	218.4%	2	4	8	6	6	6
6996	Nichicon	4,435	4.7%	1.4%	140.1%	172.1%	211.2%	265.0%	6	9	5	5	5	5
6997	Nippon Chemi-con	5,570	-0.4%	11.8%	274.6%	274.6%	259.1%	371.6%	14	5	2	2	4	4
6594	Nidec	2,787	6.8%	0.5%	27.6%	32.1%	6.2%	4.8%	4	10	12	12	13	14
6479	MinebeaMitsumi	4,848	1.6%	-2.9%	86.1%	52.0%	66.8%	123.4%	12	12	6	11	9	10
4062	Ibiden	23,345	-1.5%	24.4%	172.9%	232.9%	381.3%	634.5%	15	2	4	3	2	2
6806	Hirose Elec	29,265	0.5%	2.2%	40.7%	65.8%	53.5%	72.5%	13	8	11	8	11	11
6807	JAE	2,372	2.8%	-3.2%	1.0%	-7.0%	-8.2%	-4.4%	10	13	15	16	16	16
6770	AlpsAlpine	2,126	5.0%	-0.4%	-2.9%	5.9%	12.7%	41.9%	5	11	16	13	12	12
5334	Niterra	10,990	2.6%	8.2%	46.3%	57.6%	86.0%	129.2%	11	6	10	10	8	8
6727	Wacom	787	3.0%	-13.4%	1.0%	-2.2%	-8.1%	16.8%	8	16	14	15	15	13
7915	NISSHA	1,362	-2.2%	-11.0%	9.8%	5.6%	-4.9%	1.8%	16	15	13	14	14	15
Simple Average			3.9%	4.4%	96.6%	117.9%	132.7%	203.6%						
SOX			-7.9%	3.3%	59.5%	65.0%	86.4%	123.6%						
NK225			0.4%	4.7%	30.6%	32.8%	45.5%	75.2%						
TOPIX			2.1%	2.9%	11.5%	14.9%	26.0%	43.7%						

Source: Bloomberg Finance L.P., J.P. Morgan

Note: Stock prices as of July 3. The darker the red, the higher the ranking of stock price performance; the darker blue, the lower the ranking of stock price performance.

Figure 2: Earnings forecasts

	FY24	FY25	FY26E	FY27E	FY28E	FY26E	FY26E	FY27E	FY28E	CY2025	CY2026	CY2026	CY26	CY26						
			JPM	JPM	JPM	CoE	BBG	BBG	BBG	1Q	2Q	3Q	4Q	1Q	2Q	3Q	4Q	BBG	BBG	
Sales (JPY mn)																				
6981	Murata Mfg.	1,743,352	1,830,856	1,993,576	2,351,582	2,773,708	1,960,000	2,022,921	2,354,564	2,791,724	411,863	416,154	486,624	467,454	460,624	465,206	499,452	518,712	470,546	523,662
6976	Taiyo Yuden	341,438	355,341	385,915	431,134	481,394	384,000	396,130	450,110	518,025	86,714	84,810	92,814	88,515	89,202	92,139	96,027	101,214	93,360	101,285
6762	TDK	2,204,806	2,504,820	2,733,034	2,965,231	3,203,314	2,580,000	2,689,294	2,881,164	3,112,588	534,262	535,753	647,610	675,203	646,254	646,082	696,340	708,545	636,533	702,121
6971	Kyocera	2,014,454	2,070,203	-	-	-	1,940,000	1,999,450	2,076,579	2,223,833	522,399	478,038	513,347	530,611	548,207	-	-	-	471,805	495,950
6963	Rohm	448,466	481,148	557,075	613,407	669,781	510,000	516,154	545,375	590,525	103,824	116,205	128,023	125,287	111,633	132,143	143,397	143,856	127,169	134,114
6996	Nichicon	175,751	169,724	-	-	-	185,000	192,235	208,654	222,000	43,006	39,601	41,131	43,522	45,470	-	-	-	44,482	46,735
6997	Nippon Chemi-con	122,684	136,821	-	-	-	160,000	154,612	165,727	171,000	31,858	30,885	33,361	35,898	36,677	-	-	-	35,984	40,794
6594	Nidec	2,607,813	2,668,491	-	-	-	2,600,000	2,633,504	2,717,725	2,835,453	661,849	638,026	664,277	676,869	689,319	-	-	-	669,283	675,663
6479	MinebeaMitsumi	1,522,703	1,664,387	1,700,880	1,789,017	1,870,228	1,690,000	1,700,748	1,783,618	1,859,189	374,823	366,925	411,389	453,921	432,152	415,518	438,663	435,473	413,724	441,779
4062	Ibiden	369,436	416,201	534,406	641,901	746,692	500,000	516,498	647,788	796,470	99,099	97,464	98,021	103,136	117,580	-	-	-	117,335	124,069
6806	Hirose Elec	189,420	211,264	241,743	267,309	289,872	230,000	230,694	248,367	267,334	44,998	48,972	53,053	54,524	54,715	57,837	61,479	62,281	55,151	58,603
6807	JAE	221,644	227,872	240,850	250,028	263,390	240,000	237,248	246,290	257,236	55,191	51,605	58,836	56,346	61,085	58,524	60,918	60,284	57,697	61,534
6770	AlpsAlpine	990,407	1,019,459	1,050,415	1,090,921	1,116,485	1,045,000	1,040,590	1,077,998	1,117,478	249,791	238,920	266,791	255,478	258,270	233,968	278,763	280,700	236,981	271,926
5334	Niterra	652,993	731,207	778,605	817,368	-	790,000	775,540	817,567	935,576	167,320	169,927	181,244	174,884	205,152	-	-	-	191,002	196,658
6727	Wacom	115,681	109,995	113,708	117,594	120,872	110,000	112,704	118,347	126,286	28,163	24,505	26,889	30,244	28,357	25,947	28,117	30,442	26,424	27,909
7915	NISSHA	195,598	194,897	201,662	211,117	220,085	198,000	196,312	203,783	212,657	47,442	49,607	48,221	49,627	45,790	50,060	52,135	53,676	48,053	50,945
	Total	13,916,646	14,754,017	15,614,170	16,660,644	-	15,122,000	15,414,633	16,543,655	18,037,373	3,462,356	3,385,232	3,753,017	3,820,113	3,795,655	3,718,163	3,967,577	4,010,992	3,695,527	3,953,745
Sales YoY % chg.																				
6981	Murata Mfg.	6.3%	5.0%	8.9%	18.0%	18.0%	7.1%	10.5%	16.4%	18.6%	-6.3%	6.6%	15.4%	1.2%	2.8%	13.0%	20.0%	6.6%	13.1%	7.6%
6976	Taiyo Yuden	5.8%	4.1%	8.6%	11.7%	11.7%	8.1%	11.5%	13.6%	15.1%	0.4%	4.9%	14.4%	2.1%	2.7%	6.3%	13.2%	9.1%	10.1%	9.1%
6762	TDK	4.8%	13.6%	9.1%	8.5%	8.0%	3.0%	7.4%	7.1%	8.0%	-4.5%	10.5%	24.8%	18.3%	11.2%	20.9%	30.0%	9.4%	18.8%	8.4%
6971	Kyocera	0.5%	2.8%	-	-	-	-6.3%	-3.4%	3.9%	7.1%	3.0%	-6.6%	2.9%	6.2%	11.1%	-	-	-	-1.3%	-3.4%
6963	Rohm	-4.1%	7.3%	15.8%	10.1%	9.2%	6.0%	7.3%	5.7%	8.3%	-10.3%	3.2%	8.2%	10.1%	-0.9%	27.3%	23.4%	12.4%	9.4%	4.8%
6996	Nichicon	-3.2%	-3.4%	-	-	-	9.0%	13.3%	8.5%	6.4%	-6.9%	-7.7%	0.0%	0.4%	-5.7%	-	-	-	12.3%	13.6%
6997	Nippon Chemi-con	-18.6%	11.5%	-	-	-	16.9%	13.0%	7.2%	3.2%	-10.7%	-10.0%	13.9%	17.2%	18.6%	-	-	-	16.5%	22.3%
6594	Nidec	11.1%	2.3%	-	-	-	-2.6%	-1.3%	3.2%	4.3%	12.6%	6.0%	2.5%	4.8%	5.7%	-	-	-	4.9%	1.7%
6479	MinebeaMitsumi	8.6%	9.3%	2.2%	5.2%	4.5%	1.5%	2.2%	4.9%	4.2%	-1.7%	5.2%	15.7%	7.4%	16.9%	10.9%	19.6%	5.9%	12.8%	7.4%
4062	Ibiden	-0.3%	12.7%	28.4%	20.1%	16.3%	20.1%	24.1%	25.4%	23.0%	7.1%	7.9%	11.1%	10.5%	32.5%	-	-	-	20.4%	26.6%
6806	Hirose Elec	14.4%	11.5%	14.4%	10.6%	8.4%	8.9%	9.2%	7.7%	7.6%	6.5%	21.4%	18.2%	9.8%	9.6%	28.5%	25.5%	17.4%	12.0%	10.5%
6807	JAE	-1.8%	2.8%	5.7%	3.8%	5.3%	5.3%	4.1%	3.8%	4.4%	-4.9%	-5.2%	5.9%	-2.7%	15.3%	6.0%	18.0%	2.5%	11.8%	4.9%
6770	AlpsAlpine	2.7%	2.9%	3.0%	3.9%	2.3%	2.5%	2.1%	3.6%	3.7%	-4.1%	4.5%	14.2%	-0.5%	3.2%	-6.3%	16.7%	5.2%	-0.8%	1.6%
5334	Niterra	6.3%	12.0%	6.5%	5.0%	-	8.0%	6.1%	5.4%	14.4%	8.1%	7.1%	9.5%	9.9%	27.4%	-	-	-	12.4%	8.5%
6727	Wacom	-2.6%	-4.9%	3.4%	3.4%	2.8%	0.0%	2.5%	5.0%	6.7%	-16.1%	-17.3%	-7.8%	7.5%	-6.1%	-7.9%	14.7%	13.2%	7.8%	3.8%
7915	NISSHA	16.6%	-0.4%	3.5%	4.7%	4.2%	1.6%	0.7%	3.8%	4.4%	8.2%	6.2%	-8.9%	1.8%	-3.0%	5.5%	5.1%	11.3%	9.1%	5.6%
	Total	5.1%	6.0%	5.8%	6.7%	-	2.5%	4.5%	7.3%	9.0%	0.6%	4.0%	11.2%	6.9%	8.3%	7.4%	17.2%	6.9%	-2.1%	5.3%
Operating profits (JPY mn)																				
6981	Murata Mfg.	279,702	281,835	411,709	671,990	1,010,371	380,000	427,078	602,971	842,257	45,541	61,621	103,515	37,876	78,823	86,451	105,911	114,155	88,835	117,735
6976	Taiyo Yuden	10,459	19,996	35,489	76,478	122,116	30,000	40,655	69,119	102,025	2,057	3,142	5,882	7,495	3,477	5,038	8,569	11,686	6,771	10,336
6762	TDK	224,192	272,415	312,438	397,791	496,757	295,000	313,998	369,076	434,080	15,099	56,419	91,208	83,110	41,678	67,440	89,119	91,941	67,269	94,600
6971	Kyocera	27,299	118,138	-	-	-	130,000	132,228	154,036	193,577	15,024	18,550	23,395	28,676	47,517	-	-	-	27,353	35,145
6963	Rohm	-40,961	10,864	62,780	93,828	120,109	30,000	39,294	64,022	87,000	-29,981	195	7,458	2,050	1,161	9,851	18,291	19,635	6,964	11,948
6996	Nichicon	5,203	6,456	-	-	-	8,700	9,782	12,881	15,860	1,441	724	817	2,310	2,605	-	-	-	1,363	2,248
6997	Nippon Chemi-con	3,740	3,369	-	-	-	8,900	7,328	9,916	11,600	1,453	152	804	976	1,437	-	-	-	1,545	1,858
6594	Nidec	238,116	137,652	-	-	-	260,000	162,407	246,743	281,251	63,363	-26,407	47,514	56,865	59,680	-	-	-	57,480	58,441
6479	MinebeaMitsumi	94,482	103,979	126,258	147,524	166,857	120,000	122,451	139,488	155,997	21,531	17,432	26,955	31,289	28,303	25,968	31,394	32,628	26,248	31,463
4062	Ibiden	47,621	62,027	115,622	154,409	207,413	90,000	100,880	155,295	224,706	12,764	17,636	14,937	11,954	17,500	-	-	-	20,421	24,469
6806	Hirose Elec	42,672	42,995	51,633	61,317	68,998	46,000	48,815	55,917	62,627	8,457	9,833	10,628	12,042	10,492	12,059	14,080	13,881	11,412	12,755
6807	JAE	15,615	8,937	9,468	14,968	18,641	9,500	11,690	14,204	15,627	4,161	1,480	3,280	1,156	3,021	928	2,646	2,146	1,384	3,139
6770	AlpsAlpine	34,106	42,043	43,784	49,362	55,331	48,500	43,896	50,726	56,366	8,811	3,726	17,496	12,041	8,780	-3,537	15,907	12,754	3,104	10,989
5334	Niterra	129,660	138,158	-	-	-	150,000	154,960	172,096	198,053	26,331	33,846	38,145	36,916	27,251	-	-	-	35,350	39,111
6727	Wacom	10,210	13,382	14,006	14,588	15,197	14,000	14,006	14,544	15,445	2,607	2,723	3,131	4,030	3,498	3,040	3,417	4,006	3,020	3,359
7915	NISSHA	5,457	4,040	7,247	9,881	12,047	7,000	6,667	7,686	9,249	1,432	1,126	949	532	750	1,320	2,301	2,764	1,339	2,089
	Total	1,128,473	1,288,542	1,641,518	2,001,072	-	1,626,700	1,636,134	2,138,720	2,705,724	199,212	202,505	396,291	331,267	358,479	349,538	445,625	452,367	359,856	459,684
OPM																				
6981	Murata Mfg.	16.0%	15.4%	20.7%	28.6%	36.4%	19%	21.1%	25.6%	30.2%	11.1									

Figure 3: Electronic components coverage valuations

Ticker	Company	Share Price (JPY)	Price Target (JPY)	Return	Rating	Market Capitalization (JPY mn)	P/E			EPS			EV/EBITDA			P/B		
							FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E
							(x)	(x)	(x)	(x)	(x)	(x)	(x)	(x)	(x)	(x)	(x)	(x)
6981	Murata Mfg.	11,080	15,200	37.2%	OW	21,750,060	62.56	38.72	25.89	177	286	428	29.53	19.39	13.39	7.18	6.35	5.35
6976	Taiyo Yuden	20,560	22,500	9.4%	OW	2,679,272	116.94	51.72	31.91	176	398	644	28.21	18.06	12.68	7.21	6.46	5.47
6762	TDK	3,699	5,500	48.7%	OW	7,190,338	31.25	24.54	19.64	118	151	188	12.10	10.04	8.31	3.01	2.79	2.56
6971	Kyocera	3,916	2,400	-38.7%	N	5,557,199	46.35	39.40	-	84	99	-	14.20	13.08	-	1.79	1.92	-
6963	Rohm	5,950	8,000	34.5%	OW	2,402,372	47.44	34.82	27.87	125	171	213	21.84	17.81	12.90	3.13	2.98	2.66
6996	Nichicon	4,435	2,400	-45.9%	OW	310,450	37.23	28.71	-	119	154	-	4.90	3.99	-	2.51	2.36	-
6997	Nippon Chemi-con	5,570	1,260	-77.4%	UW	153,112	35.39	24.80	-	157	225	-	6.56	5.24	-	2.91	2.56	-
6594	Nidec	2,787	1,800	-35.4%	UW	3,323,690	15.82	13.80	-	176	202	-	6.45	5.45	-	1.56	1.41	-
6479	MinebeaMitsumi	4,848	5,500	13.4%	OW	2,070,487	21.28	18.12	15.97	228	268	304	11.42	9.87	8.57	2.01	1.86	1.70
4062	Ibiden	23,345	18,400	-21.2%	OW	6,576,779	122.87	101.94	52.11	190	229	448	41.28	30.44	18.77	10.37	9.45	8.11
6806	Hirose Elec	29,265	33,300	13.8%	OW	1,010,533	24.35	20.36	17.78	1,202	1,438	1,646	12.00	10.31	9.23	2.45	2.33	2.21
6807	JAE	2,372	2,280	-3.9%	N	166,758	24.64	15.47	12.39	96	153	192	4.90	4.13	3.61	1.08	1.04	0.99
6770	AlpsAlpine	2,126	2,480	16.7%	N	442,429	14.89	13.25	11.86	143	160	179	4.62	4.19	3.91	0.89	0.86	0.82
5334	Niterra	10,990	9,100	-17.2%	OW	2,189,732	25.68	22.54	-	428	488	-	7.49	6.62	-	2.57	2.35	-
6727	Wacom	787	1,300	65.2%	OW	106,245	10.80	10.34	9.90	73	76	79	5.09	4.11	3.16	2.10	1.66	1.36
7915	NISSHA	1,362	1,460	7.2%	N	65,398	19.36	13.84	9.73	70	98	140	5.62	4.97	4.11	0.56	0.54	0.53
Simple Average		-	-	0.4%	-	3,499,678	41.05	29.52	-	223	287	-	13.51	10.48	-	3.21	2.93	-

Tiker	Company	Share Price (JPY)	Price Target (JPY)	Return	Rating	Market Capitalization (JPY mn)	ROE			DPS			Dividend Yield			Dividend Payout Ratio		
							FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E
							(JPY)	(JPY)	(JPY)	(JPY)	(JPY)	(JPY)	(JPY)	(JPY)	(JPY)	(JPY)	(JPY)	(JPY)
6981	Murata Mfg.	11,080	15,200	37.2%	OW	21,750,060	11.6%	17.4%	22.4%	70.0	85.0	100.0	0.6%	0.8%	0.9%	39.5%	29.7%	23.4%
6976	Taiyo Yuden	20,560	22,500	9.4%	OW	2,679,272	6.9%	14.4%	20.3%	95.0	105.0	125.0	0.5%	0.5%	0.6%	54.0%	26.4%	19.4%
6762	TDK	3,699	5,500	48.7%	OW	7,190,338	9.9%	11.8%	13.6%	40.0	54.0	66.0	1.1%	1.5%	1.8%	33.8%	35.8%	35.0%
6971	Kyocera	3,916	2,400	-38.7%	N	5,557,199	4.0%	4.6%	-	50.0	50.0	-	1.3%	1.3%	-	59.2%	50.3%	-
6963	Rohm	5,950	8,000	34.5%	OW	2,402,372	7.8%	10.2%	11.5%	50.0	50.0	65.0	0.8%	0.8%	1.1%	39.9%	29.3%	30.5%
6996	Nichicon	4,435	2,400	-45.9%	OW	310,450	6.4%	8.1%	-	37.0	38.0	-	0.8%	0.9%	-	31.1%	24.6%	-
6997	Nippon Chemi-con	5,570	1,260	-77.4%	UW	153,112	7.6%	10.1%	-	20.0	20.0	-	0.4%	0.4%	-	12.7%	8.9%	-
6594	Nidec	2,787	1,800	-35.4%	UW	3,323,690	10.3%	10.6%	-	0.0	0.0	-	0.0%	0.0%	-	0.0%	0.0%	-
6479	MinebeaMitsumi	4,848	5,500	13.4%	OW	2,070,487	9.8%	10.7%	11.1%	60.0	62.0	65.0	1.2%	1.3%	1.3%	26.3%	23.2%	21.4%
4062	Ibiden	23,345	18,400	-21.2%	OW	6,576,779	9.3%	10.3%	16.1%	21.0	22.0	23.0	0.1%	0.1%	0.1%	11.1%	9.6%	5.6%
6806	Hirose Elec	29,265	33,300	13.8%	OW	1,010,533	10.1%	11.8%	12.6%	540.0	580.0	620.0	1.8%	2.0%	2.1%	44.9%	40.3%	37.7%
6807	JAE	2,372	2,280	-3.9%	N	166,758	4.4%	6.9%	8.2%	50.0	60.0	70.0	2.1%	2.5%	3.0%	51.9%	39.1%	36.6%
6770	AlpsAlpine	2,126	2,480	16.7%	N	442,429	6.4%	7.0%	7.5%	64.0	72.0	76.0	3.0%	3.4%	3.6%	44.8%	44.9%	42.4%
5334	Niterra	10,990	9,100	-17.2%	OW	2,189,732	13.8%	14.0%	-	220.0	240.0	-	2.0%	2.2%	-	51.4%	49.2%	-
6727	Wacom	787	1,300	65.2%	OW	106,245	22.3%	17.9%	15.1%	24.0	24.0	24.0	3.0%	3.0%	3.0%	32.9%	31.5%	30.2%
7915	NISSHA	1,362	1,460	7.2%	N	65,398	2.9%	4.0%	5.5%	50.0	50.0	50.0	3.7%	3.7%	3.7%	71.1%	50.8%	35.7%
Simple Average		-	-	0.4%	-	3,499,678	9.0%	10.6%	-	-	-	-	1.4%	1.5%	-	37.8%	30.9%	-

Ticker	Company	Share Price (JPY)	Price Target (JPY)	Return	Rating	Market Capitalization (JPY mn)	ROIC			FCF			FCF Yield			Net Debt		
							FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E	FY26E	FY27E	FY28E
							(JPY mn)	(JPY mn)	(JPY mn)	(JPY mn)	(JPY mn)	(JPY mn)	(JPY mn)	(JPY mn)	(JPY mn)	(JPY mn)	(JPY mn)	(JPY mn)
6981	Murata Mfg.	11,080	15,200	37.2%	OW	21,750,060	11.2%	17.1%	22.1%	245,082	432,293	666,078	1.1%	2.0%	3.1%	-515,785	-633,825	-927,113
6976	Taiyo Yuden	20,560	22,500	9.4%	OW	2,679,272	5.6%	11.2%	16.1%	23,849	51,374	87,146	0.9%	1.9%	3.3%	66,158	54,844	13,227
6762	TDK	3,699	5,500	48.7%	OW	7,190,338	8.1%	9.6%	11.1%	94,635	246,090	337,345	1.3%	3.4%	4.7%	-269,105	-350,003	-495,747
6971	Kyocera	3,916	2,400	-38.7%	N	5,557,199	2.4%	2.9%	-	60,109	74,323	-	1.1%	1.3%	-	-251,533	-240,995	-
6963	Rohm	5,950	8,000	34.5%	OW	2,402,372	5.1%	6.6%	7.8%	36,826	54,914	85,896	1.5%	2.3%	3.6%	11,972	25,631	-126,264
6996	Nichicon	4,435	2,400	-45.9%	OW	310,450	5.5%	6.8%	-	7,098	9,939	-	2.3%	3.2%	-	-29,614	-31,538	-
6997	Nippon Chemi-con	5,570	1,260	-77.4%	UW	153,112	4.4%	5.7%	-	4,644	6,816	-	3.0%	4.5%	-	54,294	52,830	-
6594	Nidec	2,787	1,800	-35.4%	UW	3,323,690	7.2%	7.6%	-	200,731	229,204	-	6.0%	6.9%	-	141,080	-44,638	-
6479	MinebeaMitsumi	4,848	5,500	13.4%	OW	2,070,487	6.4%	7.4%	7.9%	72,494	97,443	125,943	3.5%	4.7%	6.1%	240,308	174,250	80,330
4062	Ibiden	23,345	18,400	-21.2%	OW	6,576,779	6.6%	7.4%	11.7%	242,105	-21,043	-85,744	3.7%	-0.3%	-1.3%	-91,244	-94,058	-93,892
6806	Hirose Elec	29,265	33,300	13.8%	OW	1,010,533	9.2%	10.7%	11.7%	31,463	39,842	46,819	3.1%	3.9%	4.6%	-133,067	-132,013	-132,950
6807	JAE	2,372	2,280	-3.9%	N	166,758	4.0%	6.0%	7.4%	7,288	10,337	12,908	4.4%	6.2%	7.7%	-8,614	-13,219	-18,779
6770	AlpsAlpine	2,126	2,480	16.7%	N	442,429	5.9%	6.4%	6.8%	10,959	18,386	22,265	2.5%	4.2%	5.0%	-53,801	-50,127	-52,900
5334	Niterra	10,990	9,100	-17.2%	OW	2,189,732	10.0%	10.4%	-	110,138	121,885	-	5.0%	5.6%	-	15,487	-43,950	-
6727	Wacom	787	1,300	65.2%	OW	106,245	25.6%	20.2%	16.9%	9,799	10,236	10,693	9.2%	9.6%	10.1%	-26,812	-39,699	-53,147
7915	NISSHA	1,362	1,460	7.2%	N	65,398	2.1%	2.9%	3.8%	5,061	4,663	6,633	7.7%	7.1%	10.1%	26,256	24,223	20,210
Simple Average		-	-	0.4%	-	3,499,678	7.5%	8.7%	-	-	-	-	3.5%	4.2%	-	-	-	-

Source: Bloomberg Finance L.P. estimates, J.P. Morgan estimates.
Note: Stock prices and Consensus as of July 3.

Analyst Certification: The Research Analyst(s) denoted by an “AC” on the cover of this report certifies (or, where multiple Research Analysts are primarily responsible for this report, the Research Analyst denoted by an “AC” on the cover or within the document individually certifies, with respect to each security or issuer that the Research Analyst covers in this research) that: (1) all of the views expressed in this report accurately reflect the Research Analyst’s personal views about any and all of the subject securities or issuers; and (2) no part of any of the Research Analyst’s compensation was, is, or will be directly or indirectly related to the specific recommendations or views expressed by the Research Analyst(s) in this report. For all Korea-based Research Analysts listed on the front cover, if applicable, they also certify, as per KOFIA requirements, that the Research Analyst’s analysis was made in good faith and that the views reflect the Research Analyst’s own opinion, without undue influence or intervention.

All authors named within this report are Research Analysts who produce independent research unless otherwise specified. In Europe, Sector Specialists (Sales and Trading) may be shown on this report as contacts but are not authors of the report or part of the Research Department.

Important Disclosures

Company-Specific Disclosures: J.P. Morgan does and seeks to do business with companies covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision. Important disclosures, including price charts and credit opinion history tables (if applicable), are available for compendium reports and all J.P. Morgan–covered companies, and certain non-covered companies, by visiting <https://www.jpmm.com/research/disclosures>, calling 1-800-477-0406, or e-mailing research.disclosure.inquiries@jpmorgan.com with your request.

Explanation of Equity Research Ratings, Designations and Analyst(s) Coverage Universe:

J.P. Morgan uses the following rating system: Overweight (over the duration of the price target indicated in this report, we expect this stock will outperform the average total return of the stocks in the Research Analyst’s, or the Research Analyst’s team’s, coverage universe); Neutral (over the duration of the price target indicated in this report, we expect this stock will perform in line with the average total return of the stocks in the Research Analyst’s, or the Research Analyst’s team’s, coverage universe); and Underweight (over the duration of the price target indicated in this report, we expect this stock will underperform the average total return of the stocks in the Research Analyst’s, or the Research Analyst’s team’s, coverage universe. NR is Not Rated. In this case, J.P. Morgan has removed the rating and, if applicable, the price target, for this stock because of either a lack of a sufficient fundamental basis or for legal, regulatory or policy reasons. The previous rating and, if applicable, the price target, no longer should be relied upon. An NR designation is not a recommendation or a rating. Some stocks under coverage have a rating but no price target; in these cases, we expect the stock will outperform/perform in line/underperform the average total return of the stocks in the Research Analyst’s, or the Research Analyst’s team’s, coverage universe of the relevant duration of the region. In our Asia (ex-Australia and ex-India) and U.K. small- and mid-cap Equity Research, each stock’s expected total return is compared to the expected total return of a benchmark country market index, not to those Research Analysts’ coverage universe. If it does not appear in the Important Disclosures section of this report, the certifying Research Analyst’s coverage universe can be found on J.P. Morgan’s Research website, <https://www.jpmorganmarkets.com>.

Coverage Universe: Kanemoto, Akinori : Alps Alpine (6770) (6770.T), Hirose Electric (6806) (6806.T), Ibiden (4062) (4062.T), Japan Aviation Electronics (6807) (6807.T), Kyocera (6971) (6971.T), MinebeaMitsumi (6479) (6479.T), Murata Manufacturing (6981) (6981.T), NISSHA (7915) (7915.T), Nichicon (6996) (6996.T), Nidec (6594) (6594.T), Nippon Chemi-Con (6997) (6997.T), Niterra (5334) (5334.T), Rohm (6963) (6963.T), TDK (6762) (6762.T), Taiyo Yuden (6976) (6976.T), Wacom (6727) (6727.T)

J.P. Morgan Equity Research Ratings Distribution, as of July 04, 2026

	Overweight (buy)	Neutral (hold)	Underweight (sell)
J.P. Morgan Global Equity Research Coverage*	53%	36%	12%
IB clients**	83%	80%	73%
JPMS Equity Research Coverage*	51%	37%	12%
IB clients**	95%	92%	87%

*Please note that the percentages may not add to 100% because of rounding.

**Percentage of subject companies within each of the "buy," "hold" and "sell" categories for which J.P. Morgan has provided investment banking services within the previous 12 months.

For purposes of FINRA ratings distribution rules only, our Overweight rating falls into a buy rating category; our Neutral rating falls into a hold rating category; and our Underweight rating falls into a sell rating category. Please note that stocks with an NR designation are not included in the table above. This information is current as of the end of the most recent calendar quarter.

Equity Valuation and Risks: For valuation methodology and risks associated with covered companies or price targets for covered companies, please see the most recent company-specific research report at <http://www.jpmorganmarkets.com>, contact the primary analyst or your J.P. Morgan representative, or email research.disclosure.inquiries@jpmorgan.com. For material information about the proprietary models used, please see the Summary of Financials in company-specific research reports and the Company Tearsheets, which are available to download on the company pages of our client website, <http://www.jpmorganmarkets.com>. This report also sets out within it the material underlying assumptions used.

History of Investment Recommendations:

A history of J.P. Morgan investment recommendations disseminated during the preceding 12 months can be accessed on the Research & Commentary page of <http://www.jpmorganmarkets.com> where you can also search by analyst name, sector or financial instrument.

Analysts' Compensation: The research analysts responsible for the preparation of this report receive compensation based upon various factors, including the quality and accuracy of research, client feedback, competitive factors, and overall firm revenues.

Registration of non-US Analysts: Unless otherwise noted, the non-US analysts listed on the front of this report are employees of non-US affiliates of J.P. Morgan Securities LLC, may not be registered as research analysts under FINRA rules, may not be associated persons of J.P. Morgan Securities LLC, and may not be subject to FINRA Rule 2241 or 2242 restrictions on communications with covered companies, public appearances, and trading securities held by a research analyst account.

Other Disclosures

J.P. Morgan is a marketing name for investment banking businesses of JPMorgan Chase & Co. and its subsidiaries and affiliates worldwide.

UK MIFID FICC research unbundling exemption: UK clients should refer to [UK MIFID Research Unbundling exemption](#) for details of J.P. Morgan's implementation of the FICC research exemption and guidance on relevant FICC research categorisation.

All research material made available to clients are simultaneously available on our client website, J.P. Morgan Markets, unless specifically permitted by relevant laws. Not all research content is redistributed, e-mailed or made available to third-party aggregators. For all research material available on a particular stock, please contact your sales representative.

Any long form nomenclature for references to China; Hong Kong; Taiwan; and Macau within this research material are Mainland China; Hong Kong SAR (China); Taiwan (China); and Macau SAR (China).

J.P. Morgan Research may, from time to time, write on issuers or securities targeted by economic or financial sanctions imposed or administered by the governmental authorities of the U.S., EU, UK or other relevant jurisdictions (Sanctioned Securities). Nothing in this report is intended to be read or construed as encouraging, facilitating, promoting or otherwise approving investment or dealing in such Sanctioned Securities. Clients should be aware of their own legal and compliance obligations when making investment decisions.

Any digital or crypto assets discussed in this research report are subject to a rapidly changing regulatory landscape. For relevant regulatory advisories on crypto assets, including bitcoin and ether, please see <https://www.jpmorgan.com/disclosures/cryptoasset-disclosure>.

The author(s) of this research report may not be licensed to carry on regulated activities in your jurisdiction and, if not licensed, do not hold themselves out as being able to do so.

Exchange-Traded Funds (ETFs): J.P. Morgan Securities LLC ("JPMS") acts as authorized participant for substantially all U.S.-listed ETFs. To the extent that any ETFs are mentioned in this report, JPMS may earn commissions and transaction-based compensation in connection with the distribution of those ETF shares and may earn fees for performing other trade-related services, such as securities lending to short sellers of the ETF shares. JPMS may also perform services for the ETFs themselves, including acting as a broker or dealer to the ETFs. In addition, affiliates of JPMS may perform services for the ETFs, including trust, custodial, administration, lending, index calculation and/or maintenance and other services.

Options and Futures related research: If the information contained herein regards options- or futures-related research, such information is available only to persons who have received the proper options or futures risk disclosure documents. Please contact your J.P. Morgan Representative or visit <https://www.theocc.com/components/docs/riskstoc.pdf> for a copy of the Option Clearing Corporation's Characteristics and Risks of Standardized Options or https://www.finra.org/sites/default/files/2020-08/Security_Futures_Risk_Disclosure_Statement_2020.pdf for a copy of the Security Futures Risk Disclosure Statement.

Changes to Interbank Offered Rates (IBORs) and other benchmark rates: Certain interest rate benchmarks are, or may in the future become, subject to ongoing international, national and other regulatory guidance, reform and proposals for reform. For more information, please consult: https://www.jpmorgan.com/global/disclosures/interbank_offered_rates

Notification for Credit Ratings: If this material includes credit ratings, such credit ratings provided by Japan Credit Rating Agency, Ltd. (JCR) and Rating and Investment Information, Inc. (R&I), are credit ratings provided by Registered Credit Rating Agencies (credit rating agencies registered under the Financial Instruments and Exchange Law of Japan (FIEL)). With respect to credit ratings that are provided by credit rating agencies other than JCR and R&I and have no stipulation that such credit ratings are provided by Registered Credit Rating Agencies, this means that such credit ratings are Non Registered Ratings (credit ratings provided by credit rating agencies not registered under the FIEL). Among the Non Registered Ratings, with respect to those credit ratings provided by S&P Global Ratings (S&P), Moody's Investors Service (Moody's), or Fitch Ratings (Fitch), prior to making investment decision based on such Non Registered Ratings, please carefully read the "Explanation Letter regarding Non Registered Ratings" for the corresponding credit rating agency, which we separately have sent or will send.

Private Bank Clients: Where you are receiving research as a client of the private banking businesses offered by JPMorgan Chase & Co. and its subsidiaries ("J.P. Morgan Private Bank"), research is provided to you by J.P. Morgan Private Bank and not by any other division of J.P. Morgan,

including, but not limited to, the J.P. Morgan Corporate and Investment Bank and its Global Research division.

Legal entity responsible for the production and distribution of research: The legal entity identified below the name of the Reg AC Research Analyst who authored this material is the legal entity responsible for the production of this research. Where multiple Reg AC Research Analysts authored this material with different legal entities identified below their names, these legal entities are jointly responsible for the production of this research. Where more than one legal entity is listed under an analyst's name, the first legal entity is responsible for the production unless stated otherwise. Research Analysts from various J.P. Morgan affiliates may have contributed to the production of this material but may not be licensed to carry out regulated activities in your jurisdiction (and do not hold themselves out as being able to do so). Unless otherwise stated below in the legal entity disclosures, this material has been distributed by the legal entity responsible for production, or where more than one legal entity is listed under the analyst's name, the first legal entity will be responsible for distribution. If you have any queries, please contact the relevant Research Analyst in your jurisdiction or the entity in your jurisdiction that has distributed this research material.

Legal Entities Disclosures and Country-/Region-Specific Disclosures:

Argentina: JPMorgan Chase Bank N.A Sucursal Buenos Aires is regulated by Banco Central de la República Argentina ("BCRA"- Central Bank of Argentina) and Comisión Nacional de Valores ("CNV"- Argentinian Securities Commission - ALYC y AN Integral N°51).

Australia: J.P. Morgan Securities Australia Limited ("JPMSAL") (ABN 61 003 245 234/AFS Licence No: 238066) is regulated by the Australian Securities and Investments Commission and is a Market Participant of ASX Limited, a Clearing and Settlement Participant of ASX Clear Pty Limited and a Clearing Participant of ASX Clear (Futures) Pty Limited. This material is issued and distributed in Australia by or on behalf of JPMSAL only to "wholesale clients" (as defined in section 761G of the Corporations Act 2001). A list of all financial products covered can be found by visiting <https://www.jpmm.com/research/disclosures>. J.P. Morgan seeks to cover companies of relevance to the domestic and international investor base across all Global Industry Classification Standard (GICS) sectors, as well as across a range of market capitalisation sizes. If applicable, in the course of conducting public side due diligence on the subject company(ies), the Research Analyst team may at times perform such diligence through corporate engagements such as site visits, discussions with company representatives, management presentations, etc. Research issued by JPMSAL has been prepared in accordance with J.P. Morgan Australia's Research Independence Policy which can be found at the following link: [J.P. Morgan Australia - Research Independence Policy](#).

Brazil: Banco J.P. Morgan S.A. is regulated by the Comissão de Valores Mobiliários (CVM) and by the Central Bank of Brazil. Ombudsman J.P. Morgan: 0800-7700847 / 0800-7700810 (For Hearing Impaired) / ouvidoria.jp.morgan@jpmchase.com.

Canada: J.P. Morgan Securities Canada Inc. is a registered investment dealer, regulated by the Canadian Investment Regulatory Organization and the Ontario Securities Commission and is the participating member on Canadian exchanges. This material is distributed in Canada by or on behalf of J.P.Morgan Securities Canada Inc.

Chile: Inversiones J.P. Morgan Limitada is an unregulated entity incorporated in Chile.

China: J.P. Morgan Securities (China) Company Limited has been approved by CSRC to conduct the securities investment consultancy business.

Colombia: Banco J.P. Morgan Colombia S.A. is supervised by the Superintendencia Financiera de Colombia (SFC). Any reference in this material to products or services offered abroad by entities other than the Bank in Colombia is included exclusively for descriptive purposes. Such references do not constitute, and should not be construed as, promotional activity or the provision of financial products or services within Colombian territory, as defined under applicable Colombian regulation.

Dubai International Financial Centre (DIFC): JPMorgan Chase Bank, N.A., Dubai Branch is regulated by the Dubai Financial Services Authority (DFSA) and its registered address is Dubai International Financial Centre - The Gate, West Wing, Level 3 and 9 PO Box 506551, Dubai, UAE. This material has been distributed by JP Morgan Chase Bank, N.A., Dubai Branch to persons regarded as professional clients or market counterparties as defined under the DFSA rules.

European Economic Area (EEA): Unless specified to the contrary, research is distributed in the EEA by J.P. Morgan SE ("JPM SE"), which is authorised as a credit institution by the Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, BaFin) and jointly supervised by the BaFin, the German Central Bank (Deutsche Bundesbank) and the European Central Bank (ECB). JPM SE is a company headquartered in Frankfurt with registered address at TaunusTurm, Taunustor 1, Frankfurt am Main, 60310, Germany. The material has been distributed in the EEA to persons regarded as professional investors (or equivalent) pursuant to Art. 4 para. 1 no. 10 and Annex II of MiFID II and its respective implementation in their home jurisdictions ("EEA professional investors"). This material must not be acted on or relied on by persons who are not EEA professional investors. Any investment or investment activity to which this material relates is only available to EEA relevant persons and will be engaged in only with EEA relevant persons.

Hong Kong: J.P. Morgan Securities (Asia Pacific) Limited (CE number AAJ321) is regulated by the Hong Kong Monetary Authority and the Securities and Futures Commission in Hong Kong, and J.P. Morgan Broking (Hong Kong) Limited (CE number AAB027) is regulated by the Securities and Futures Commission in Hong Kong. JP Morgan Chase Bank, N.A., Hong Kong Branch (CE Number AAL996) is regulated by the Hong Kong Monetary Authority and the Securities and Futures Commission, is organized under the laws of the United States with limited liability. Where the distribution of this material is a regulated activity in Hong Kong, the material is distributed in Hong Kong by or through J.P. Morgan Securities (Asia Pacific) Limited and/or J.P. Morgan Broking (Hong Kong) Limited.

India: J.P. Morgan India Private Limited (Corporate Identity Number - U67120MH1992FTC068724), having its registered office at J.P. Morgan Tower, Off. C.S.T. Road, Kalina, Santacruz - East, Mumbai - 400098, is registered with the Securities and Exchange Board of India (SEBI) as a

‘Research Analyst’ having registration number INH000001873. J.P. Morgan India Private Limited is also registered with SEBI as a member of the National Stock Exchange of India Limited and the Bombay Stock Exchange Limited (SEBI Registration Number – INZ000239730) and as a Merchant Banker (SEBI Registration Number - MB/INM000002970). Telephone: 91-22-6157 3000, Facsimile: 91-22-6157 3990 and Website: <http://www.jpmpil.com>. JPMorgan Chase Bank, N.A. - Mumbai Branch is licensed by the Reserve Bank of India (RBI) (Licence No. 53/ Licence No. BY.4/94; SEBI - IN/CUS/014/ CDSL : IN-DP-CDSL-444-2008/ IN-DP-NSDL-285-2008/ INBI00000984/ INE231311239) as a Scheduled Commercial Bank in India, which is its primary license allowing it to carry on Banking business in India and other activities, which a Bank branch in India are permitted to undertake. For non-local research material, this material is not distributed in India by J.P. Morgan India Private Limited. Compliance Officer: Ashutosh Sharma; ashutosh.j.sharma@jpmchase.com; +912261575002. Grievance Officer: Ramprasad K, jpmpil.research.feedback@jpmorgan.com; +912261573000. Registration granted by SEBI and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Please visit [Terms and Conditions and Most Important Terms and Conditions \(MITC\)](#). The annual Compliance audit report is available at <http://www.jpmpil.com/#research>.

Indonesia: PT J.P. Morgan Sekuritas Indonesia is a member of the Indonesia Stock Exchange and is registered and supervised by the Otoritas Jasa Keuangan (OJK).

Korea: J.P. Morgan Securities (Far East) Limited, Seoul Branch, is a member of the Korea Exchange (KRX). JPMorgan Chase Bank, N.A., Seoul Branch, is licensed as a branch office of foreign bank (JPMorgan Chase Bank, N.A.) in Korea. Both entities are regulated by the Financial Services Commission (FSC) and the Financial Supervisory Service (FSS). For non-macro research material, the material is distributed in Korea by or through J.P. Morgan Securities (Far East) Limited, Seoul Branch.

Japan: JPMorgan Securities Japan Co., Ltd. and JPMorgan Chase Bank, N.A., Tokyo Branch are regulated by the Financial Services Agency in Japan.

Malaysia: This material is issued and distributed in Malaysia by JPMorgan Securities (Malaysia) Sdn Bhd (18146-X), which is a Participating Organization of Bursa Malaysia Berhad and holds a Capital Markets Services License issued by the Securities Commission in Malaysia.

Mexico: J.P. Morgan Casa de Bolsa, S.A. de C.V., J.P. Morgan Grupo Financiero is member of the Mexican Stock Exchange (“Bolsa Mexicana de Valores”) and the Institutional Stock Exchange (“Bolsa Institucional de Valores”), and it is authorized to act as a broker dealer by the National Banking and Securities Exchange Commission (“Comisión Nacional Bancaria y de Valores”).

New Zealand: This material is issued and distributed by JPMSAL in New Zealand only to "wholesale clients" (as defined in the Financial Markets Conduct Act 2013). JPMSAL is registered as a Financial Service Provider under the Financial Service providers (Registration and Dispute Resolution) Act of 2008.

Philippines: J.P. Morgan Securities Philippines Inc. is a Trading Participant of the Philippine Stock Exchange and a member of the Securities Clearing Corporation of the Philippines and the Securities Investor Protection Fund. It is regulated by the Securities and Exchange Commission.

Singapore: This material is issued and distributed in Singapore by or through J.P. Morgan Securities Singapore Private Limited (JPMS) [MDDI (P) 057/08/2025 and Co. Reg. No.: 199405335R], which is a member of the Singapore Exchange Securities Trading Limited, and/or JPMorgan Chase Bank, N.A., Singapore branch (JPMCB Singapore), both of which are regulated by the Monetary Authority of Singapore. This material is issued and distributed in Singapore only to accredited investors, expert investors and institutional investors, as defined in Section 4A of the Securities and Futures Act, Cap. 289 (SFA). This material is not intended to be issued or distributed to any retail investors or any other investors that do not fall into the classes of “accredited investors,” “expert investors” or “institutional investors,” as defined under Section 4A of the SFA. Recipients of this material in Singapore are to contact JPMS or JPMCB Singapore in respect of any matters arising from, or in connection with, the material.

South Africa: J.P. Morgan Equities South Africa Proprietary Limited and JPMorgan Chase Bank, N.A., Johannesburg Branch are members of the Johannesburg Securities Exchange and are regulated by the Financial Services Conduct Authority (FSCA).

Taiwan: J.P. Morgan Securities (Taiwan) Limited is a participant of the Taiwan Stock Exchange (company-type) and regulated by the Taiwan Securities and Futures Bureau. Material relating to equity securities is issued and distributed in Taiwan by J.P. Morgan Securities (Taiwan) Limited, subject to the license scope and the applicable laws and the regulations in Taiwan. **To the extent that J.P. Morgan Securities (Taiwan) Limited produces research materials on securities not listed on the Taiwan Stock Exchange or Taipei Exchange (“Non-Taiwan Listed Securities”), these materials shall not constitute securities recommendations for the purpose of applicable Taiwan regulations, and, for the avoidance of doubt, J.P. Morgan Securities (Taiwan) Limited does not act as broker for Non-Taiwan Listed Securities.** According to Paragraph 2, Article 7-1 of Operational Regulations Governing Securities Firms Recommending Trades in Securities to Customers (as amended or supplemented) and/or other applicable laws or regulations, please note that the recipient of this material is not permitted to engage in any activities in connection with the material that may give rise to conflicts of interests, unless otherwise disclosed in the “Important Disclosures” in this material.

Thailand: This material is issued and distributed in Thailand by JPMorgan Securities (Thailand) Ltd., which is a member of the Stock Exchange of Thailand and is regulated by the Ministry of Finance and the Securities and Exchange Commission. The registered address is 548 One City Center Building, 50th Floor, Ploenchit Road, Lumpini, Pathum Wan, Bangkok 10330.

UK: Research is produced in the UK by J.P. Morgan Securities plc (“JPMS plc”) which is a member of the London Stock Exchange and is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority or J.P. Morgan Markets Limited (“JPML Ltd”) which is authorised and regulated by the Financial Conduct Authority. Unless specified to the

contrary, this material is distributed in the UK by JPMS plc and is directed in the UK only to: (a) persons having professional experience in matters relating to investments falling within article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) (Order) 2005 ("the FPO"); (b) persons outlined in article 49 of the FPO (high net worth companies, unincorporated associations or partnerships, the trustees of high value trusts, etc.); or (c) any persons to whom this communication may otherwise lawfully be made; all such persons being referred to as "UK relevant persons". This material must not be acted on or relied on by persons who are not UK relevant persons. Any investment or investment activity to which this material relates is only available to UK relevant persons and will be engaged in only with UK relevant persons. A description of J.P. Morgan EMEA's policy for prevention and avoidance of conflicts of interest related to the production of Research can be found at the following link: [J.P. Morgan EMEA - Research Independence Policy](#).

U.S.: J.P. Morgan Securities LLC ("JPMS") is a member of the NYSE, FINRA, SIPC, and the NFA. JPMorgan Chase Bank, N.A. is a member of the FDIC. Material published by non-U.S. affiliates is distributed in the U.S. by JPMS who accepts responsibility for its content.

General: Additional information is available upon request. The information in this material has been obtained from sources believed to be reliable. While all reasonable care has been taken to ensure that the facts stated in this material are accurate and that the forecasts, opinions and expectations contained herein are fair and reasonable, JPMorgan Chase & Co. or its affiliates and/or subsidiaries (collectively J.P. Morgan) make no representations or warranties whatsoever to the completeness or accuracy of the material provided, except with respect to any disclosures relative to J.P. Morgan and the Research Analyst's involvement with the issuer that is the subject of the material. Accordingly, no reliance should be placed on the accuracy, fairness or completeness of the information contained in this material. There may be certain discrepancies with data and/or limited content in this material as a result of calculations, adjustments, translations to different languages, and/or local regulatory restrictions, as applicable. These discrepancies should not impact the overall investment analysis, views and/or recommendations of the subject company(ies) that may be discussed in the material. Artificial intelligence tools may have been used in the preparation of this material, including assisting in data analysis, pattern recognition, and content drafting for research material. J.P. Morgan accepts no liability whatsoever for any loss arising from any use of this material or its contents, and neither J.P. Morgan nor any of its respective directors, officers or employees, shall be in any way responsible for the contents hereof, apart from the liabilities and responsibilities that may be imposed on them by the relevant regulatory authority in the jurisdiction in question, or the regulatory regime thereunder. Opinions, forecasts or projections contained in this material represent J.P. Morgan's current opinions or judgment as of the date of the material only and are therefore subject to change without notice. Periodic updates may be provided on companies/industries based on company-specific developments or announcements, market conditions or any other publicly available information. There can be no assurance that future results or events will be consistent with any such opinions, forecasts or projections, which represent only one possible outcome. Furthermore, such opinions, forecasts or projections are subject to certain risks, uncertainties and assumptions that have not been verified, and future actual results or events could differ materially. The value of, or income from, any investments referred to in this material may fluctuate and/or be affected by changes in exchange rates. All pricing is indicative as of the close of market for the securities discussed, unless otherwise stated. Past performance is not indicative of future results. Accordingly, investors may receive back less than originally invested. This material is not intended as an offer or solicitation for the purchase or sale of any financial instrument. The opinions and recommendations herein do not take into account individual client circumstances, objectives, or needs and are not intended as recommendations of particular securities, financial instruments or strategies to particular clients. This material may include views on structured securities, options, futures and other derivatives. These are complex instruments, may involve a high degree of risk and may be appropriate investments only for sophisticated investors who are capable of understanding and assuming the risks involved. The recipients of this material must make their own independent decisions regarding any securities or financial instruments mentioned herein and should seek advice from such independent financial, legal, tax or other adviser as they deem necessary. J.P. Morgan may trade as a principal on the basis of the Research Analysts' views and research, and it may also engage in transactions for its own account or for its clients' accounts in a manner inconsistent with the views taken in this material, and J.P. Morgan is under no obligation to ensure that such other communication is brought to the attention of any recipient of this material. Others within J.P. Morgan, including Strategists, Sales staff and other Research Analysts, may take views that are inconsistent with those taken in this material. Employees of J.P. Morgan not involved in the preparation of this material may have investments in the securities (or derivatives of such securities) mentioned in this material and may trade them in ways different from those discussed in this material. This material is not an advertisement for or marketing of any issuer, its products or services, or its securities in any jurisdiction.

Confidentiality and Security Notice: This transmission may contain information that is privileged, confidential, legally privileged, and/or exempt from disclosure under applicable law. If you are not the intended recipient, you are hereby notified that any disclosure, copying, distribution, or use of the information contained herein (including any reliance thereon) is STRICTLY PROHIBITED. Although this transmission and any attachments are believed to be free of any virus or other defect that might affect any computer system into which it is received and opened, it is the responsibility of the recipient to ensure that it is virus free and no responsibility is accepted by JPMorgan Chase & Co., its subsidiaries and affiliates, as applicable, for any loss or damage arising in any way from its use. If you received this transmission in error, please immediately contact the sender and destroy the material in its entirety, whether in electronic or hard copy format. This message is subject to electronic monitoring: <https://www.jpmorgan.com/disclosures/email>

MSCI: Certain information herein ("Information") is reproduced by permission of MSCI Inc., its affiliates and information providers ("MSCI") ©2026. No reproduction or dissemination of the Information is permitted without an appropriate license. MSCI MAKES NO EXPRESS OR IMPLIED WARRANTIES (INCLUDING MERCHANTABILITY OR FITNESS) AS TO THE INFORMATION AND DISCLAIMS ALL LIABILITY TO THE EXTENT PERMITTED BY LAW. No Information constitutes investment advice, except for any applicable Information from MSCI ESG Research. Subject also to [msci.com/disclaimer](https://www.msci.com/disclaimer)

Sustainalytics: Certain information, data, analyses and opinions contained herein are reproduced by permission of Sustainalytics and: (1) includes the proprietary information of Sustainalytics; (2) may not be copied or redistributed except as specifically authorized; (3) do not

constitute investment advice nor an endorsement of any product or project; (4) are provided solely for informational purposes; and (5) are not warranted to be complete, accurate or timely. Sustainalytics is not responsible for any trading decisions, damages or other losses related to it or its use. The use of the data is subject to conditions available at <https://www.sustainalytics.com/legal-disclaimers>. ©2026 Sustainalytics. All Rights Reserved.

"Other Disclosures" last revised July 04, 2026.

Copyright 2026 JPMorgan Chase & Co. All rights reserved. This material or any portion hereof may not be reprinted, sold or redistributed without the written consent of J.P. Morgan. It is strictly prohibited to use or share without prior written consent from J.P. Morgan any research material received from J.P. Morgan or an authorized third-party ("J.P. Morgan Data") in any third-party artificial intelligence ("AI") systems or models when such J.P. Morgan Data is accessible by a third-party.

Completed 07 Jul 2026 03:37 PM JST

Disseminated 07 Jul 2026 03:39 PM JST